GLOBAL CHOCOMART

SALES & PROFITABILITY REVIEW | BUSINESS MEMO

TO: Management Team

FROM: Kunal Kumar, Business Analytics Intern

DATE: 22 October 2026

SUBJECT: **2023–2024 Profitability and Customer Loyalty Review**

TOTAL REVENUE	TOTAL PROFIT	TOTAL COST	PROFIT MARGIN
25.49M	**10.19M**	**15.29M**	**40.00%**

WHAT STANDS OUT

The dashboard shows 25.49 million in revenue 10.19 million in profit and a 40.00% overall profit margin. At the level the margin is 40.00% in both 2023 and 2024. Monthly readings stay to 40% so the current view does not confirm a sustained year-over-year decline.

Discount rate moved slightly from 5.61% in 2023 to 5.64% in 2024 (+0.03 percentage points). That small change alone is not enough to identify discounting as the cause of a margin problem.

Loyalty members contributed about 12.8 million in revenue versus 12.7 million from non-members. Profit was 5.1 million for each group while average order value was 25.4 for members and 25.5 for non-members. In words members bring slightly more revenue but a clear profit or basket-value advantage is not evident, in this comparison.

WHAT THIS MEANS

Country and category comparisons are closely grouped. The margin range is 39.97% to 40.02% for each country and about 39.98% to 40.03% for each named product category. These differences in margin are very small. The current dashboard does not yet identify a single cause of margin decline.

RECOMMENDED NEXT STEPS

1. Validate the trend. Before you say the decline is real compare revenue, profit and margin for the months year over year using a real monthly axis.

2. Trace unit economics. Look at margin for each product. Store together with selling price, unit cost, discount and product mix to see where profit, per sale is really changing**.**

3. Test loyalty offers on profit. Run a focused repeat-purchase or basket-building offer. Judge it by incremental profit not just membership sales.

DECISION FOR THIS WEEK

Hold discount changes for now. First reconcile the trend against order-level data then compare product and store combinations to identify changes in selling price, unit cost and product mix that may be affecting profitability. Review those findings with the owners before changing pricing or loyalty incentives.

> **Bottom line:** Profit margins remained close to 40% across the period reviewed, and the current analysis does not establish a sustained decline or a single underlying cause. Management should review monthly and product-level performance before making changes to pricing or loyalty incentives.